Student's Index Number .....

THE PRIME MINISTER'S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT AUTHORITIES

ARUSHA REGIONAL MOCK EXAMINATION

FORM TWO

060 **BUSINESS STUDIES**

TIME 2:30 HRS **MAY 2026**

INSTRUCTIONS.

1. This paper consists of section A, B and C with total of nine (9) questions.
2. Answer all questions in the space provided
3. Section A carries fifteen (15) marks, section B forty (40) marks and section C carries forty five (45) marks.
4. All writing must be in black or blue ink. Except drawings which must be in pencil.
5. Communication devices and any unauthorized materials are not allowed in the assessment room.
6. Write your assessment number at the top right corner of every page.

FOR ASSESOR USE ONLY		
QUESTION NUMBER	**SCORE**	**ASSESORS INITIALS**
1		
2		
3		
4		
5		
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7		
8		
9		
TOTAL		

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SECTION A (15 MARKS)
Answer all questions in this section,

1. For each of the items (i) –(x), choose the correct answer from the given alternatives and write its letter in the box provided.

(i) Neema loves to cook food. She opened a small restaurant in her village, why did she do this
A. Passions
B. Opportunity
C. Unmet needs
D. Profits

(ii) Form two Business club members at Mtakuja secondary school have been preparing income statement at the end of each year, what make them prepare it.
A. To analyse budget
B. To calculate profit and loss
C. To keep daily records
D. To estimate income

(iii) Mr .Joel's business earned Tsh. 200,000 from sales while he used Tsh 20,000 to run the business. What war Mr. Joel's profit or loss?
A. Tsh. 220,000
B. Tsh. 180,000
C. Tsh. 220,000
D. Tsh.180,000

(iv) Which of the following functions of management deals with recruiting, placing, training and terminating employees.
A. Planning
B. Directing
C. Staffing
D. Organising

(v) The process of making payment for the purchased product at a later date refers to
A. Purchases
B. Borrowing
C. Defused payment
D. Cash payment

(vi) Borrowing funds from financial institutions with the agreement of repaying them with interest over a specific time refers to
A. Financial business
B. Raising fund
C. Loan
D. Deferred payment

(vii) Organisation owned and operated by people with similar needs are called.
A. Microfinance
B. Corporation
C. Enterprises
D. Cooperatives

(viii) Keeping aside part of personal earnings for future use refers to..
A. Debt
B. Saving
C. Serving
D. Loan

(ix) Refer to the whole process of releasing goods from a warehouse
A. Care of stock
B. Issuing of stock
C. Placement of stock items
D. Receiving of stock

(x) One of the following is considered a warehouse that stores imported goods waiting for customs clearance
A. Public warehouse
B. Bonded warehouse
C. Private warehouse
D. Distribution centre

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i	ii	iii	iv	v	vi	vii	viii	ix	x

2. Match the items from Group A with those in group B by writing the letter of a correct option in Group B that corresponds to an item in group A.

GROUP A	GROUP B
(i) Public, private, bonded, climate controlled and distribution centres. (ii) A warehouse owned by manufactures wholesalers and Retailers. (iii) Store goods that are usually are affected by weather conditions. (iv) Management of goods to ensure sufficient quantities of goods without holding more or less stock than the required quantities. (v) Warehouse that stores imported goods until customs duties are cleared.	A. Warehouse B. Bonded warehouse C. Stock keeping D. Public warehouse E. Types of warehouse F. Climate controlled warehouse G. Custom duty H. Distribution centres warehouse I. Receiving of stock J. Stock administration K. Private warehouse

GROUP A	i	ii	iii	iv	v
GROUP B					

SECTION B (40 MARKS)
Answer all questions

3. Your friend is not aware with the following terms used in Business studies, briefly explain to him the following terms with examples to each term.
   a) Services.....
   b) Resources .....
   c) Business process.....
   d) Wants.....
   e) Needs .....

4. (a) Why it is important to identify business opportunities? Briefly explain five importances of identify business opportunities.
   i. .....
   ii. .....
   iii. .....
   iv. .....
   v. .....

   (b) List down any five business opportunity that are found in your society.
   i. .....
   ii. .....
   iii. .....
   iv. .....
   v. .....

5. Sole proprietorship like any other form of business, face challenges in its operation; Explain three challenges and suggest two solution on how they can be solved.

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i. .....
ii. .....
iii. .....

6. George has a friend who made much money from his small business. His friend gave him Tsh 1,000,000 as a gift to expand his small business. What type of funding for small business is this? Elaborate three advantages and two disadvantages of this funding type?.....
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SECTION C (45 Marks)
Answer all questions

7. Managing a small business means monitoring all matters related to the business activities, by using knowledge of business studies elaborate five (5) functions of business management.
   i .....
   ii. .....
   iii. .....
   iv. .....
   v. .....
8. Warehouse management is supervising controlling and evaluating various activities in a warehouse to ensure an efficient and reliable supply of stock, briefly explain practises of warehouses management. Five (5) points.
   i .....
   ii. .....
   iii. .....
   iv. .....
   v. .....
9. Enter preneurship is the process which acquire business management skills for an entrepreneur to manage various aspects of the business. Briefly explain five (5) entrepreneurship skills possessed by an entrepreneur?

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